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Case Number: 25NNCV07791 Hearing Date: August 27, 2026 Dept: P

[TENTATIVE] ORDER SUSTAINING DEFENDANT GEMMA MONICA'S DEMURRER TO PLAINTIFF'S COMPLAINT

I. INTRODUCTION

Plaintiff Magdy Tawadrous ("Plaintiff") filed this action against Defendants United States Fire Insurance Company ("U.S. Fire"), Blue Star Claims, LLC ("Blue Star"), and Gemma Monica ("Monica") arising from the handling and denial of benefits under an occupational accident insurance policy. Plaintiff alleges causes of action for (1) breach of insurance contract, (2) breach of the implied covenant of good faith and fair dealing, (3) violation of Insurance Code section 790.03, (4) violation of Business and Professions Code sections 17200/17500, (5) unjust enrichment, and (6) fraud.

On November 3, 2025, Plaintiff filed the Complaint. On June 3, 2026, Monica filed the instant demurrer to all six causes of action. Plaintiff filed an opposition on August 14, 2026, and Monica filed a reply on August 20, 2026.

Meet and confer

Pursuant to Code of Civil Procedure section 430.41, subdivision (a), the demurring party is required to meet and confer with the party who filed the pleading at least five days before the responsive pleading is due. This must occur in person, telephone or by video conference with the aim of resolving any objections raised in the demurrer. Additionally, the demurring party must file and serve a declaration detailing the meet and confer efforts. It should be noted, however, that the failure to meet and confer is not itself grounds for sustaining or overruling a demurrer or granting or denying a motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a)(4), 435.5, subd. (a)(4).)

Defense counsel declares that beginning on May 15, 2026, she attempted to meet and confer with Plaintiff's counsel by telephone and sent an email summarizing the grounds for the demurrer. Counsel further declares that Plaintiff's counsel responded by email, but the parties were unable to resolve the issues. (Ingulsrud Decl., ¶¶ 2-3.) The declaration does not establish that the parties actually met and conferred in person, by telephone, or by video conference as required by Code of Civil Procedure section 430.41, subdivision (a).

Thus, the requirement is not satisfied, however, the Court elects to consider the demurrer on the merits.

II. LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

CCP section 430.10(f) provides that a pleading is uncertain if it is ambiguous and unintelligible. (See Code Civ. Proc., § 430.10(f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) "A demurrer for uncertainty will be sustained only where the complaint is so bad that defendant cannot reasonably respond—i.e., he or she cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her." (Weil & Brown, Civil Procedure Before Trial (The Rutter Group) § 7:85 (emphasis in original).) "The objection of uncertainty does not go to the failure to allege sufficient facts." (Brea v. McGlashan (1934) 3 Cal.App.2d 454, 459.) "It goes to the doubt as to what the pleader means by the facts alleged." (Id.) "Such a demurrer should not be sustained where the allegations of the complaint are sufficiently clear to apprise the defendant of the issues which he is to meet." (People v. Lim (1941) 18 Cal.2d 872, 882.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not "sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment"]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 ["A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment."]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 ["When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend."].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

III. ANALYSIS

Defendant Monica demurs to all six causes of action alleged against her. Monica argues she is not a proper party because she was not a party to the insurance contract and is alleged only to have acted within the course and scope of her employment as a claims adjuster. (Demurrer, p. 4.) Plaintiff alleges Monica was an "agent, claims adjuster, employee, and/or authorized representative" of Blue Star Claims, LLC and United States Fire Insurance Company, acting within the course and scope of that agency or employment. (Complaint, ¶ 4.) The Complaint otherwise refers generally to "Defendants" and does not separately identify conduct undertaken by Monica.

First and second causes of action: breach of insurance contract and breach of the implied covenant of good faith and fair dealing

"The standard elements of a claim for breach of contract are: '(1) the contract, (2) plaintiff's performance excuse for nonperformance, (3) defendant's breach, and (4) damage to plaintiff therefrom.'" (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

The elements for breach of the implied covenant of good faith and fair dealing are: (1) existence of a contract between plaintiff and defendant; (2) plaintiff performed his contractual obligations or was excused from performing them; (3) the conditions requiring defendant's performance had occurred; (4) the defendant unfairly interfered with the plaintiff's right to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant's conduct. (Merced Irr. Dist. V. County of Mariposa (E.D. Cal. 2013) 941 F.Supp.2d 1237, 1280 [discussing California law].)

Here, Monica argues that both causes of action fail because she is not a party to the insurance policy. Monica contends that Plaintiff alleges only that she acted as an agent and claims adjuster for Blue Star and U.S. Fire, which is insufficient to

establish contractual privity. (Demurrer, pp. 6-7.) Plaintiff opposes arguing she may be held for tortious conduct she participated, notwithstanding her status as an agent or employee. (Opposition, pp. 6-7.)

The Court agrees with Monica. The Complaint does not allege that Monica was a party to the insurance policy. Rather, Monica is alleged only to have acted as an agent and claims adjuster for Blue Star and U.S. Fire. (Complaint, ¶ 4.) Thus, there is no contractual relationship between Plaintiff and Monica that could support either a breach of contract or breach of the implied covenant claim.

Plaintiff's argument that an agent may be liable for her own tortious conduct does not change this result because these claims arise from duties imposed by the insurance contract.

Thus, the demurrer as to the first and second causes of action are SUSTAINED without leave to amend.

Third cause of action: California Insurance Code § 790.03

Monica demurs to the third cause of action, arguing that Insurance Code section 790.03 does not provide a private cause of action, citing *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287, 304. (Demurrer, p. 7.)

The Court agrees. In *Moradi-Shalal*, the California Supreme Court held that Insurance Code section 790.03 does not create a private right of action. (Id. at p. 304.) Thus, Plaintiff cannot maintain a standalone claim under section 790.03.

Thus, the demurrer as to this cause of action is SUSTAINED without leave to amend.

Fourth cause of action: UCL violation

To set forth a claim for a violation of Business and Professions Code section 17200 ("UCL"), Plaintiff must establish Defendant was engaged in an "unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising" and certain specific acts. (Bus. & Prof. Code, § 17200.) A cause of action for unfair competition "is not an all-purpose substitute for a tort or contract action." (*Cortez v. Purolator Air Filtration Products Co.* (2000) 23 Cal.4th 163, 173.)

Section 17500 provides that it is unlawful for a person or corporation to disseminate false or misleading advertisements with the intent to dispose of real or personal property or perform services. (Cal. Bus. & Prof. Code, § 17500.) To establish a false advertising cause of action under section 17500, Plaintiff must demonstrate the advertisement was likely to deceive or mislead consumers. (See *Brockey v. Moore* (2003) 107 Cal.App.4th 86, 98-99.)

Monica demurs to the fourth cause of action, arguing that the Complaint does not allege any unlawful, unfair, or fraudulent conduct by Monica individually and instead relies on the same claims-handling conduct alleged against Defendants collectively. (Demurrer, p. 8.)

In opposition, Plaintiff argues that Monica may be individually liable under the UCL because she personally participated in the alleged unfair and fraudulent conduct. (Opposition, p. 8.)

The Court agrees with Monica. The Complaint does not identify any unlawful, unfair, or fraudulent business practice undertaken by Monica individually. Rather, the allegations are asserted generally against "Defendants," and Monica is alleged only to have acted as an agent and claims adjuster for the corporate defendants. Further, to the extent the UCL claim is based on the alleged fraudulent conduct, the Complaint does not plead any misrepresentation by Monica with the required

specificity.

Thus, the Court SUSTAINS the demurrer as to this cause of action without leave to amend.

Fifth cause of action: Unjust enrichment

Monica demurs to the fifth cause of action, arguing that it fails to state sufficient facts and is uncertain. (Notice, p. 2.) In opposition, Plaintiff argues that Monica does not substantively address the unjust enrichment claim in her demurrer and therefore provides no basis for sustaining the demurrer to this cause of action. (Opposition, p. 9.)

The Court is not persuaded by Plaintiff's argument. Monica expressly challenged the fifth cause of action in her Notice of Demurrer on the ground that it fails to state sufficient facts. (Notice, p. 2.) Moreover, "[u]njust enrichment is not a cause of action"; rather, it is simply "a restitution claim." (Hill v. Roll International Corp. (2011) 195 Cal.App.4th 1295, 1307; see also Melchior v. New Line Productions, Inc. (2003) 106 Cal.App.4th 779, 793.)

Thus, the Court SUSTAINS the demurrer as to this cause of action with 20 days' leave to amend to allege facts sufficient to state a restitutionary claim against Monica.

Sixth cause of action: Fraud

"The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Monica demurs to the sixth cause of action, arguing that Plaintiff fails to allege the specific misrepresentation made by Monica, including how, when, where, to whom, and by what means it was made. (Demurrer, p. 9.) In opposition, Plaintiff argues that the Complaint adequately alleges Monica personally participated in the fraudulent conduct.

The Court disagrees. The Complaint generally attributes the alleged misrepresentations to "Defendants" without identifying any representation made by Monica individually. It does not allege what Monica said or concealed, when or how the alleged misrepresentation occurred, or facts showing Monica's knowledge of falsity and intent to induce Plaintiff's reliance. Thus, the fraud claim is not pled with the required specificity.

The Court SUSTAINS the demurrer as to this cause of action with 20 days leave to amend.

IV. ORDER

The Court SUSTAINS Monica's demurrer without leave to amend as to the first, second, third, and fourth causes of action. The Court SUSTAINS Monica's demurrer with 20 days' leave to amend as to the fifth and sixth causes of action.

Defendants are to give notice.

Dated: August 27, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT

[TENTATIVE] ORDER GRANTING DEFENDANTS' MOTION TO COMPEL ARBITRATION

I. INTRODUCTION

Plaintiff Magdy Tawadrous ("Plaintiff") filed this action against Defendants United States Fire Insurance Company ("U.S. Fire"), Blue Star Claims, LLC ("Blue Star"), and Gemma Monica ("Monica") arising from the handling and denial of benefits under an occupational accident insurance policy. Plaintiff alleges causes of action for (1) breach of insurance contract, (2) breach of the implied covenant of good faith and fair dealing, (3) violation of Insurance Code section 790.03, (4) violation of Business and Professions Code sections 17200/17500, (5) unjust enrichment, and (6) fraud.

On May 29, 2026, U.S. Fire and Blue Star (collectively, "Defendants") filed the instant motion to compel arbitration and stay the action. Plaintiff filed an opposition on August 14, 2026, and U.S. Fire and Blue Star filed a reply on August 20, 2026.

II. LEGAL STANDARD

Code Civ. Proc. §1281 provides: "A written agreement to submit to arbitration an existing controversy or a controversy thereafter existing is valid, enforceable, and irrevocable, save upon such grounds as exist for the revocation of any contract."

Code Civ. Proc. §1281.2 provides that upon petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate and a party's refusal to submit to arbitration, the court shall order the parties to arbitrate the controversy if it determines that an agreement exists, unless it determines that the right to arbitrate has been waived, that grounds exist for revocation, or that a party to the agreement is also party to a pending litigation arising out of the same facts and there exists a possibility of conflicting rulings on a common issue of fact or law. In such a situation, the court may (1) refuse to enforce the arbitration agreement and order intervention or joinder of all parties in a single action, (2) order intervention or joinder as to all or only certain issues, (3) order arbitration among the parties who have agreed to arbitration and stay the action pending outcome of arbitration, or (4) stay arbitration pending outcome of the litigation.

California Rules of Court, rule 3.1330 provides, "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference."

The "involving" requirement is to be interpreted broadly. *Allied-Bruce Terminix Companies v. Dobson* (1995) 513 U.S. 265, 274.

III. ANALYSIS

The existence of written agreement to arbitrate is established.

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.) In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541.) “With respect to the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (*Baker v. Italian Maple Holdings, LLC* (2017) 13 Cal.App.5th 1152, 1160.)

Here, Defendants submit the declaration of Erika Dempsey, Claims Program Manager for Crum & Forster, the parent company of Defendant United States Fire Insurance Company (“U.S. Fire”). Dempsey states that U.S. Fire issued a blanket occupational accident insurance policy to Lyft, Inc. (the “OA Policy”), which provides certain benefits to eligible transportation providers performing services through the Lyft platform. (Dempsey Decl., ¶¶ 1-3.) A copy of the applicable Certificate of Insurance is attached to Dempsey’s declaration as Exhibit A. (Id., ¶ 3, Exh. A.)

The OA Policy contains the following arbitration provision:

“This Arbitration provision permanently bars the institution of any individual or class action lawsuit brought by the Covered Person or the Recipient of Payment. With this binding Arbitration provision, the Covered Person, for himself or herself or the Recipient of Payment is waiving the right to a trial by jury. “ (Exh. A; p. 20.)

Dempsey further states that the OA Policy contains an arbitration provision requiring disputes arising from the contractual relationship between a Covered Person and the insurer to be resolved through binding arbitration. (Id., ¶ 4.)

Plaintiff does not dispute that the OA Policy contains the arbitration provision. Rather, Plaintiff argues that Defendants have not established that Plaintiff agreed to be bound by that provision, because Plaintiff did not sign the OA Policy, execute an arbitration agreement, or otherwise manifest assent to arbitration. (Opposition, pp. 3-5.) Defendants acknowledge that Plaintiff did not personally execute the OA Policy but contend that he is nevertheless bound by the arbitration provision under principles of equitable estoppel and third-party beneficiary law because he seeks benefits as a Covered Person under the Policy. (Reply, pp. 2-3.)

Thus, the Court finds that Defendants have met their initial burden of establishing the existence of a written arbitration provision contained in the OA Policy. Whether Plaintiff, as a nonsignatory to the OA Policy, is bound by that arbitration provision is addressed below.

Plaintiff is bound by the arbitration provision as a nonsignatory

Defendants argue that Plaintiff may be compelled to arbitrate notwithstanding that he did not sign the OA Policy. Defendants rely on *Philadelphia Indemnity Ins. Co. v. SMG Holdings, Inc.* (2019) 44 Cal.App.5th 834, in which the Court of Appeal held that an arbitration provision contained in an insurance policy was enforceable against an additional insured who was not a signatory to the policy and directed the trial court to order arbitration of the coverage dispute. Defendants contend the same principle applies here because Plaintiff seeks benefits as a Covered Person under the OA Policy. (Motion, p. 5.)

Defendants further argue that Plaintiff is bound under the doctrine of equitable estoppel. A nonsignatory may be compelled to arbitrate where his claims are “‘intimately founded in and intertwined’ with the underlying contract obligations.” (*Boucher v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 271.) Defendants contend that because Plaintiff seeks benefits allegedly owed under the OA Policy, his claims necessarily depend upon the Policy and he is therefore estopped from avoiding its arbitration provision. (Motion, pp. 5-6.)

In opposition, Plaintiff argues that he cannot be compelled to arbitrate because he was not a party to or signatory of the OA Policy and did not assent to its arbitration provision. (Opposition, p. 5.) Plaintiff further argues that Defendants have not established an exception applicable to nonsignatories because they have not shown that the arbitration provision was intended for his benefit or that he knowingly exploited the OA Policy. (Opposition, pp. 5-7.) Plaintiff also contends that equitable estoppel does not apply because his claims arise from Defendants' alleged misconduct in handling and paying benefits. (Opposition, p. 7.)

The Court finds Defendants' arguments persuasive. Although Plaintiff did not execute the OA Policy, that fact does not preclude enforcement of the arbitration provision against him. A nonsignatory may be compelled to arbitrate where his claims are "'intimately founded in and intertwined' with the underlying contract obligations." (Boucher, supra, 127 Cal.App.4th at p. 271.)

Here, Plaintiff seeks benefits allegedly owed to him as a Covered Person under the OA Policy. Plaintiff submitted a claim for benefits under the Policy and now alleges that Defendants failed to pay benefits owed under it. He asserts, among other claims, breach of contract and breach of the implied covenant of good faith and fair dealing arising from the handling and payment of those benefits. (Opposition, p. 2.) Thus, Plaintiff's claims are founded upon and intertwined with the OA Policy containing the arbitration provision.

Moreover, Philadelphia Indemnity Ins. Co. v. SMG Holdings, Inc. (2019) 44 Cal.App.5th 834 is instructive. There, the Court of Appeal enforced an insurance policy's arbitration provision against a nonsignatory additional insured seeking coverage under the policy. (Id. at pp. 841-842.) Similarly, Plaintiff here affirmatively seeks benefits under the OA Policy and cannot rely upon the Policy as the source of those benefits while avoiding its arbitration provision.

Thus, the Court finds that Plaintiff is bound by the arbitration provision under principles of equitable estoppel. The action is STAYED pending results of the arbitration.

Stay as Defendant Gemma Monica

Although Monica is not a party to the arbitration agreement, the Court may stay the action as to her where the claims involve the same controversy being arbitrated. (Code Civ. Proc., § 1281.4; Marcus v. Superior Court (1977) 75 Cal.App.3d 204, 209.)

Here, Plaintiff's claims against Monica arise from the same handling and denial of benefits under the OA Policy. Thus, the Court stays the action as to Monica pending completion of the arbitration.

IV. CONCLUSION AND ORDER

Defendants' petition to compel arbitration is GRANTED.

The action is STAYED pending results of the arbitration.

Defendants are to give notice.

Dated: August 27, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT